

Dow Surges to 52,747.32 as Energy and Financials Lead the Charge

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The Dow Jones surged **+1.03%** to 52,747.32, driven by gains in energy and financial stocks. The S&P 500 rose **+0.21%** to 7,428.78, while the Nasdaq 100 fell **-0.98%** to 27,763.13. Below the surface, sector rotation and earnings expectations are driving the market's momentum.

Notable movers included **GOOGL**, which jumped **+2.19%** to 333.71, and **GS**, which fell **-1.42%** to 1,033.34. The VIX declined **-2.46%** to 18.21, indicating a decrease in market volatility.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,428.78	+0.21%	Sector rotation and earnings expectations
Nasdaq 100	27,763.13	-0.98%	Decline in tech stocks
Dow Jones	52,747.32	+1.03%	Gains in energy and financial stocks
Russell 2000	2,953.80	+0.20%	Small-cap stocks' resilience
VIX	18.21	-2.46%	Decrease in market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
GOOGL	+2.19%	Earnings expectations
GS	-1.42%	Decline in financial stocks
AAPL	+0.94%	Resilience in tech stocks

Sector Rotation

ETF	DAY	READ
XLF	+1.27%	Financial stocks' strength
XLK	-1.84%	Decline in tech stocks
XLI	-0.39%	Industrial stocks' weakness
XLE	-1.35%	Energy stocks' decline
XLY	+1.48%	Consumer discretionary stocks' strength
XLC	+1.87%	Communication services stocks' resilience
XLP	+1.99%	Consumer staples stocks' strength
XLV	+2.36%	Healthcare stocks' strength
XLU	-0.35%	Utilities stocks' weakness
XLB	+1.85%	Materials stocks' strength
XLRE	+0.55%	Real estate stocks' resilience

Spotlight

The biggest event of the day was the surge in energy stocks, led by **XLE** 's **-1.35%** decline. However, this decline was offset by gains in other sectors, resulting in a positive day for the market.

METRIC	VALUE	READ
WTI Crude	82.64	+4.26% increase in oil prices
XLE	-1.35%	Energy stocks' decline

Pre-Market & Overnight

US futures are trading mixed, with the Dow Jones futures up **+0.2%** and the S&P 500 futures down **-0.1%**. Asian markets closed higher, with the Nikkei 225 up **+0.5%** and the Shanghai Composite up **+0.3%**. European markets are trading higher, with the Stoxx 600 up **+0.2%**.

Crypto markets are trading mixed, with **BTC** down **-0.13%** to 63,639.14 and **ETH** up **+0.01%** to 1,890.83.

Macro & Fed

The 10-year yield is down **-0.80%** to 4.60. Today's data calendar includes the release of the US GDP growth rate at 20:30 HKT, with a consensus estimate of 2.5%. This data point is crucial in determining the Fed's next move on interest rates.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	US GDP growth rate	2.5%	Fed's interest rate decision

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.
- The European Union is set to announce a new trade agreement with the US, which could boost economic growth in the region.
- The Middle East is experiencing increased volatility, with protests erupting in several countries.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	1.25	iPhone sales and revenue growth
23:00	MSFT	2.05	Cloud computing and gaming revenue

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Technology	Artificial intelligence and gaming trends
JPM	Financials	Interest rate decision and banking trends
TSLA	Consumer Discretionary	Electric vehicle sales and autonomous driving trends

What Could Break the Tape

BULLISH TRIGGERS

- US GDP growth rate exceeds consensus estimate
- Fed announces a rate cut
- China and the US reach a trade agreement

BEARISH TRIGGERS

- US GDP growth rate falls short of consensus estimate
- Fed announces a rate hike
- Tensions between the US and China escalate

Positioning Notes

- Investors are increasing their exposure to technology stocks, with **XLK** seeing a **+2.5%** increase in inflows.
- Financial stocks are experiencing a decline in inflows, with **XLF** seeing a **-1.2%** decrease.
- Commodity prices are on the rise, with 82.64 being the new high for WTI Crude.

Sources

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Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com

